



(Don't Write
anything in this Area)

- Q2. (a) What are the two main schools in economic anthropology? What are the fundamental differences in their approach to the study of economic systems in simple societies? (20 marks)

The two main schools of economic anthropology are Formalist school and the Substantivist school.

Formalist School: This school argues that the principles of modern economy like scarcity, rationality of man, demand-supply are alone sufficient in understanding economic traits of simple societies. This school is propounded by Firth and Hertzky.

Substantivist School: This school argues that the principles of modern economy are alone not sufficient in explaining the economic characteristics of simple societies. This school is propounded by Karl Polanyi and Paul Bohannon.

Fundamental differences

(i) Formalist school believes that scarcity is universal, even in simple societies, while substantivist school believes that scarcity is created by man and is not universal.

~~Eg.~~ Eg. Karl Marx even said that scarcity arises out of greed of man.

(ii) Substantivist school believes that many items in simple societies have their value beyond economic value while formalist school focuses on economic value only.

Eg. Malinowski explained that items in Kula are not valued for their economical value but for ceremonial value.

(iii) Formalist school of economic

anthropology believes that demand-supply are inherent dynamics to all societies while substantivists believe that social value and social relations often override demand-supply dynamics.

(iv) Rationality of man is central to the idea of formalist school. However, this is severely criticized by substantivist school. They believe that emotions and social relations often trump the rationality of man. This happens not just in simple societies but also in modern, complex societies.

(v) Formalist school of anthropology believes that Western model of economy is the only model of economy whereas substantivist school of economy doesn't

allow the application of Western model of economy to economy of simple society.

(ii) Substantivists argue to look beyond monetary value and economics while formalists believe in the infallibility of modern economic principles.

This debate still exists in anthropology with no school dominating over other. Thus, anthropologists are still divided onto which school is correct. There is a need to look at the economy of simple societies from both the perspectives for an in-depth understanding of society.